

Robinhood Markets, Inc.

HOOD NASDAQ

Hold	\$93.62 ▲ 3.21%	12M Price Target \$95.00	52-Week Range \$63.52 – \$153.86	Market Cap \$84.17B
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HOOD: Crypto Buzz Lifts Shares, But Puts Signal Caution

WHAT HAPPENED

- HOOD bounced +3.2% to \$93.62 on light volume (only 1.8M shares vs usual 15-20M — meaning today's move is thin and could reverse easily). The catalyst looks like the meme coin listing story that ripped 100% overnight — the market is rewarding HOOD for aggressively expanding crypto listings, which drives their highest-margin revenue line.
- Cramer went bullish on the "controversial fintech" (HOOD) — that's usually good for a one-day pop but not a durable thesis. More importantly, MetaMask giving AI agents wallets signals the crypto-AI convergence trend, which HOOD is well-positioned for via their tokenization push.

WHY IT MATTERS

Here's what I'm inferring: HOOD is trading like a crypto-beta stock right now, not a broker. The unusual put buying at \$104-\$110 strikes (some at 391x normal open interest) tells me sophisticated money is either hedging existing longs or betting the stock can't punch through \$105 into August expiry — that's a ceiling to watch. The bigger picture: the Trump administration's pro-crypto stance (SEC dropping cases, GENIUS Act on stablecoins, potential crypto strategic reserve chatter) has structurally re-rated HOOD's earnings power because crypto trading generates 3-4x the margin of equity trading. But at 33% of its 52-week range and \$84B market cap, a lot of that good news is priced in — this is no longer a cheap stock.

POLICY & POLITICAL WATCH

The GENIUS Act (stablecoin regulation) and the CLARITY Act (crypto market structure) are the two bills that matter most for HOOD right now — if CLARITY passes, it hands crypto oversight primarily to the CFTC (friendlier than SEC), which lets HOOD list way more tokens without legal risk. The Trump SEC under Atkins has already dropped its HOOD Crypto investigation, and the tokenized securities push (HOOD's stock tokens in EU) is being tacitly encouraged. Watch for: any 401(k) executive order allowing crypto in retirement accounts — that would be a massive TAM expansion catalyst for HOOD.

IS IT EXPENSIVE?

At ~50x forward earnings and roughly 20x forward revenue, you're paying \$20 for every \$1 of sales — that's premium territory even for fintech (SCHW trades at ~6x revenue, COIN at ~12x). The bull case says HOOD deserves it because they're growing revenue 40%+ with expanding margins and a younger demographic. The bear case: this multiple only works if crypto volumes stay elevated — and crypto volumes are notoriously cyclical.

WHAT COULD GO WRONG

Key Data

Price (USD)	\$93.62
12M Price Target	\$95.00
Upside / (Downside)	+1.5%
Market Cap	\$84.17B
FY2026E Revenue	\$4,200M
FY2027E Revenue	\$5,100M
FY2026E EPS	\$1.85
FY2027E EPS	\$2.40
Fwd P/E	50.6x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$105.00	\$95.00	\$82.00
6 Months	\$130.00	\$100.00	\$75.00
1 Year	\$155.00	\$110.00	\$70.00
2 Years	\$200.00	\$130.00	\$60.00
5 Years	\$350.00	\$200.00	\$50.00
10 Years	\$600.00	\$300.00	\$40.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Tech (+7% in 5 days) and Consumer Discretionary are ripping — risk-on behavior, which favors HOOD's retail trader customer base. Crypto-adjacent names benefiting from Trump admin's regulatory rollback.

COOLING OFF: Healthcare flat/negative, Real Estate weak — defensive sectors getting no love as investors chase growth and speculation.

ROTATION WATCH: Money is rotating out of defensives into high-beta tech and crypto plays — that's a direct tailwind for HOOD, but it also means when the risk-off day comes, HOOD gets hit harder than most.

RELATED PLAY: If HOOD's crypto story keeps working, COIN and the crypto infrastructure names (MSTR, HOOD, COIN as a basket) benefit together. Second-order: stablecoin issuers like CRCL (Circle) if GENIUS Act passes.

WHO'S WINNING IN THIS SPACE?

- COIN (Coinbase): Direct beneficiary of same crypto policy tailwinds, more institutional exposure
- SOFI (SoFi): Actually growing lending/banking faster than HOOD, cheaper multiple

HOOD CONTEXT: HOOD is leading the retail fintech pack YTD but lagging pure-play crypto (COIN) on recent crypto rallies. At 33% of 52-week range, it's actually underperformed its highs by a lot — meaning the easy money from the Trump election trade has been made, and now you need new catalysts to break out.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

CONVICTION: 6/10 — I like the story but the risk/reward at \$93 isn't screaming buy; I'd rather chase on strength above \$105 or buy weakness sub-\$85.

POSITION SIZE: 2-4% max — this thing swings 5% on random meme coin listings, so size it like the volatile animal it is.

ENTRY POINTS: \$82-85 on any macro-driven pullback, or a breakout above \$105 with volume confirmation.

TIME HORIZON: 12-18 months — the catalyst I'm waiting for is CLARITY Act passage and Q3/Q4 earnings showing sustained crypto revenue mix.

WHEN TO BAIL: Below \$78 (breaks the uptrend), if BTC drops below \$90k, or if any major crypto regulatory reversal happens.

HEDGING: Buy some longer-dated puts (like December \$80s) as insurance, or pair the trade by shorting a smaller position in COIN — that way you're betting HOOD specifically outperforms rather than just betting on crypto.